by socialism and the governments there took a central role in planned development. As these economies were dominated by foreign colonisers, they worried that opening themselves to foreign investment would lead to a new form of domination, the domination by large multinationals. That is why most of these countries went for 'protectionist' economic policy with ***import substitution*** as one method, side by side. But by the 1970s, the world was having convincing proofs that the socialist as well as the planned economies[1] were inclined to follow their kind of development strategy—because either they had very slow and lower growth rates or were stagnating. The experiences of these economies gave rise to a new ideology which is popular as the ***'Washington Consensus'***.

## 2. Washington Consensus

By the early 1980s, a new development strategy emerged. Though it was not new, it was like the old idea getting vindicated after failure of a comparatively newer idea. After the world recognised the limits of a state-dominated economy arguments in favour of the market, i.e. the private sector, was promoted emphatically. Many countries shifted their economic policy just to the other extreme arguing for a minimal role of the government in the economy. Governments of the socialist or the planned economies were urged/suggested to privatise and liberalise, to sell off state-owned companies and eliminate government intervention in the economy. These governments were also suggested to take the measures which could boost the aggregate demand in the economy (***i.e. macroeconomic stability measures***). The broad outlines of such a development strategy were called as the ***Washington Consensus***[2]**.**

This consensus is broadly termed as the popular meaning of the 'economic reform' followed by almost all the socialist, the communist and the planned developing economies during the 1980s in one form or the other[3] -the term economic reform got currency around the world during this period. The term was usually seen as a corollary of promoting 'naked capitalism', openness in the economy and an open attitude towards foreign investments, etc. The Governments of the developing economies were criticised by the political parties in the opposition and the critiques for being soft to the